

realize that part of their equity in the future is being taken from them. The stock market, with its usual heedlessness, applies the same basis of valuation to common shares whether warrants are outstanding or not. Hence warrants may be availed of to pay unreasonable bonuses to promoters or other insiders without fear of comprehension and criticism by the rank and file of stockholders. Furthermore, the warrant device facilitates the establishment of an artificially high aggregate market valuation for a company's securities, because (with a little manipulation) large values can be established for a huge issue of warrants without reducing the quotation of the common shares.

Stock-option warrants have proved a convenient and appealing instrument in corporate reorganizations, because they have enabled the reorganizers to give the old stockholders a sop of some kind while ostensibly turning the company over entirely to the creditors. The S.E.C., however, has taken a stand against this practice, contending that if the old stockholders really have no equity they are not even entitled to warrants.⁷

A Reductio ad Absurdum. The public's failure to comprehend that all the value of option warrants is derived at the expense of the common stock has led to a practice that would be ridiculous if it were not so mischievous. We refer to the original sale of common stock carrying warrants to buy additional common stock. This arrangement gives nothing to the stockholders that they would not have without the warrant, and it violates an obvious rule of sound corporate financing. A properly managed business sells additional stock *only when new capital is needed*, and in that event the stockholders are usually entitled to subscribe pro rata to the offering.⁸ To give subscription rights to stockholders when the money is not needed is nonsensical from all viewpoints except that of deceiving people into believing that something attractive is being offered them. It resembles the practice, sometimes indulged in, of declaring dividends in

⁷ See their advisory opinion in the National Radiator case (in March 1939) which led to the dropping of a warrant provision for old stockholders. In our opinion the broad objections to the warrant device in principle may justify the rather Draconian stand of the S.E.C. But a warrant arrangement under which old stockholders can buy out old creditors at a price that will pay them off, *e.g.*, the Erie plan, dated January 1939, has much more to recommend it.

⁸ It has become fashionable to insert charter provisions that deprive stockholders of this so-called "preemptive right." It is claimed that the surrender of this right is necessary in order to give the directors more flexible powers in making corporate deals involving issuance of stock. We are very skeptical of the soundness of this argument.